PARTNERS of the AMERICAS
Connect • Serve • Change Lives

Allowable & Unallowable Cost Policy

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Enacted

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1. Objective

The purpose of this policy is to outline the allowability of costs at Partners of the Americas Inc. (Partners). Allowable costs are expenses that are eligible and permissible to be charged to a specific grant or contract, based on the regulations and guidelines set forth by the funding source. These costs are reasonable, allocable, and necessary for the successful execution of the project or program. The determination of allowable costs is crucial for ensuring the appropriate use of grant funds and compliance with the terms and conditions of the grant agreement.

2. General Criteria for Allowability

- **Reasonable:** Allowable costs must be reasonable, meaning they are justified and appropriate for the nature of the project or program. The cost should not exceed what a prudent person would incur under similar circumstances.

- **Allocable:** Allowable costs must be allocable to the specific grant or contract. This means that the costs can be directly attributed to the project or, if they are indirect costs, that they are distributed proportionally across all applicable projects in a fair and equitable manner.

- **Necessary:** Allowable costs must be necessary for the performance of the project. They should directly contribute to achieving the project's objectives and outcomes.

- **Consistent with Regulations:** Allowable costs must adhere to the applicable federal regulations, including the 2 CFR Part 200, Subpart E or any other specific requirements outlined by the funding agency.

- **Conform with Cost Policy:** Allowable costs should align with this Policy and any cost principles specified in the prime award.

3. Specific Allowable Costs as per Federal Guidelines

All allowable costs are permission in accordance with the principal award. For further information, see federal cost principles in 2 CFR 200, Subpart E.

- **Direct Costs** – Costs that are charged directly to a project and are clearly identified within thatproject's activity and objectives.

- **Indirect or F&A Costs** – Costs that are not directly related to a specific sponsored project and are incurred for common or joint objectives, sometimes referred to as overhead.

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3.1 Allowable Direct Costs

Direct costs are expenses that can be specifically identified and attributed to a particular project, program, or activity. These costs are directly related to the execution of a specific grant or contract and can be easily traced and allocated to the corresponding project. Some common categories of direct costs include:

1. **Personnel Costs:**
   - Salaries and wages of employees directly working on the project or program.
   - Wages of temporary or contract staff hired specifically for the project.

2. **Fringe Costs:**
   - Fringe benefits such as health insurance, social security, payroll taxes, and retirement contributions for project personnel.

3. **Supplies and Materials:**
   - Costs of materials and supplies consumed directly in the project activities.
   - Office supplies, project-specific materials, and other consumables.

4. **Travel Expenses:**
   - Transportation costs for project-related travel, such as airfare, train fare, or mileage reimbursement.
   - Per diem allowances for meals and lodging during travel.

5. **Equipment Costs:**
   - Purchase or rental costs of equipment directly used for the project.
   - Depreciation or lease expenses for equipment used exclusively for the project.

6. **Consultants and Professional Services:**
   - Fees paid to external consultants or experts providing specialized services for the project.
   - Professional fees for legal, accounting, or other services directly related to the project.

7. **Subawards and Subcontracts:**
   - Costs incurred through subawards or subcontracts to other organizations or individuals directly involved in project activities.
   - Subrecipient or subcontractor costs that are directly allocable to the project.

8. **Participant Costs:**

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- Costs related to participants or beneficiaries directly involved in project activities, such as stipends, transportation, or meals.

9. **Communication and Dissemination:**
   - Costs for communication and dissemination of project results or information to stakeholders and the public.

10. **Other Direct Costs:**
    - Any other costs that can be specifically identified and directly related to the project's activities, as long as they comply with grantor regulations.

It is important for programs to carefully track and document all direct costs to ensure efficient and effective grant management and accurate and transparent financial reporting. Additionally, direct costs must be allowable, reasonable, and necessary according to the grantor's cost principles and guidelines, as outlined in the 2 CFR 200, or the Federal Acquisition Register (FAR) and other applicable federal regulations. Proper allocation and justification of direct costs are critical to maintaining fiscal responsibility and compliance with grant requirements.

3.2 Prior Approval Requirements

Some costs, depending on the terms and conditions set by the funding agency, may require prior approval. It is crucial to carefully review the grant agreement, program guidelines, and any additional documentation provided by the funder to understand the specific requirements. Below are possible examples of costs that often require prior approval.

1. **Change in Scope or Objectives:** Any significant changes to the originally approved scope or objectives of the project may require prior approval.

2. **Budget Modifications:** If there is a need to reallocate a substantial amount of funds between budget categories or make significant budget changes, prior approval may be necessary.

3. **Personnel Changes:** Changes in key personnel, especially the project director or any other key personnel listed in the grant agreement, may require notification and/or approval.

4. **Equipment Purchases:** Major purchases of equipment require approval even if in the program budget.

5. **Travel Expenses:** Significant changes in travel plans, especially if they deviate from the approved budget, may need approval.

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6. **Subawards or Subcontracts:** Entering into new subawards or subcontracts, or making substantial changes to existing ones, require prior approval.

7. **Extensions of Project Period/Cost:** If more time is needed to complete a program than the performance period stipulated in the grant agreement, a no cost extension approval is required. If additional funding is required to complete the agreed scope of the program, cost extension must be requested and approved.

8. **Participant Support Costs:** Costs related to participant support, such as stipends or scholarships, may require approval.

9. **Major Programmatic Changes:** Any significant changes in the programmatic approach or methodology may need approval.

10. **Other Unbudgeted Costs:** Costs that were not originally included in the approved budget and exceed a certain threshold might require approval.

4. Unallowable Costs

Unallowable costs are expenses that cannot be charged to a specific grant or contract because they do not meet the criteria for eligibility or compliance with the funding source's regulations and guidelines. These costs are considered non-reimbursable and cannot be claimed as allowable expenses under the terms and conditions of the funding agreement. Charging unallowable costs to a grant can lead to disallowances, financial penalties, or even the requirement to repay the improperly claimed funds.

4.1 Common Unallowable Costs

1. **Entertainment:** Costs related to entertainment, amusement, social activities, or any form of hospitality, such as tickets to shows, sporting events, or parties.

2. **Lobbying:** Expenses incurred in trying to influence legislation or advocating for specific political positions.

3. **Fundraising Costs:** Costs of organized fund raising, including financial campaigns, endowment drives, solicitation of gifts and bequests, and similar expenses incurred to raise capital or obtain contributions are unallowable.

4. **Fines and Penalties:** Any costs resulting from violations of laws, regulations, or contractual agreements, including fines and penalties imposed by regulatory authorities.

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5. **Bad Debts:** Irrecoverable debts, including any expenses related to the collection or write-off of bad debts.

6. **Alcohol and Personal Expenses:** Costs associated with alcoholic beverages and personal items not directly related to the project or program.

7. **Contributions and Donations:** Payments made as charitable contributions, gifts, or donations to other organizations or individuals regardless of the recipient.

8. **Interest on Loans**: Interest charges on loans and related financing costs.

9. **Costs for Non-Grant Activities**: Expenses unrelated to the specific grant or program objectives.

10. **Contingency Reserves:** Funds set aside as reserves for unforeseen events or future uncertainties.

11. **Others:** Costs of advertising designed to promote the contractor or its products. Costs of promotional items and memorabilia, including models, gifts, and souvenirs. Costs for travel by commercial aircraft which exceeds the amount of the standard commercial fare.

5. Additional Summary Information on Specific Costs per 2 CFR 200

Note: This information is only a general guide to the listed items. Please check the award-specific terms and conditions for your award or the Compliance Department if you have questions.

Type of Cost & Uniform Guidance Citation	Typically Allowable as Direct Cost	Comments
Advertising (See §200.421 Advertising and public relations)	Yes	Allowable only for recruitment of staff or trainees, procurement of goods and services, recruitment of research subjects, disposal of scrap or surplus materials, and other specific purposes necessary to meet the requirements of the grant-supported project or activity.

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		For conditions other than those listed, prior approval is required.
Alcoholic Beverages §200.423	No	Unallowable
Alteration and Renovation (see §200.462 Rearrangement and reconversion costs)	Depends on Purpose	Allowable only with prior funder approval.
Animals and Animal Care (see §200.468 Specialized Service Facilities)	Yes	Allowable for the acquisition, care, and use of experimental animals.
Audit Costs (see §200.425 Audit services)	Depends on Purpose	Charges for general Partners audits should be treated as indirect costs. However program specific audit are allowable as direct costs.
Bad Debts §200.426	No	Unallowable
Bid and Proposal Costs (See §200.460 Proposal costs)	No	Allowable as an indirect cost.
Bonding §200.427	Yes	Allowable when required by the terms and conditions of the Federal award.
Childcare Costs	Depends on Purpose	2 CFR 200 generally does not allow reimbursement or payment of childcare expenses. The one exception is that childcare is allowable if incurred to assist an individual to participate on a project. However, often requires prior donor approval.
Dues or Membership Fees	No	Allowable as an indirect cost. for organizational membership in business, professional, or technical organizations or societies.
Entertainment Costs §200.438	Depends on Purpose	Generally unallowable, except where specific costs that might otherwise be considered entertainment have a programmatic purpose and are authorized either in the approved budget for the Federal award or with

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		prior written approval of the Federal awarding agency. This includes the cost of amusements, social activities, and related incidental costs.
Equipment (See §200.439 Equipment and other capital expenditures)	Yes	Allowable for purchase of new, used, or replacement equipment as a direct cost or as part of indirect costs, depending on the intended use of the equipment and grant agreement.
Exchange Rates §200.440	Yes	Cost increases for fluctuations in exchange rates are allowable costs subject to the availability of funding. Prior approval of exchange rate fluctuations is required only when the change results in the need for additional Federal funding, or the increased costs result in the need to significantly reduce the scope of the project.
Fines and Penalties (See §200.441 Fines, penalties, damages and other settlements)	No	Unallowable.
Fringe Benefits (See §200.431 Compensation—fringe benefits)	Yes	Allowable as part of overall compensation to employees in proportion to the amount of time or effort employees devote to the grant- supported project.
Fundraising Costs (See §200.442 Fund raising and investment costs)	No	Unallowable.
General Purpose Equipment (See §200.439 Equipment and other capital expenditures)	No	General purpose equipment such as desktop computers, laptop computers, printers, office furniture and vehicles are normally treated indirect costs.
Honoraria	Depends on Purpose	Unallowable when the primary intent is to confer distinction on, or to symbolize respect, esteem, or admiration for, the recipient of the honorarium. However, a payment for services rendered, such as a

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		speaker's fee under a conference grant, is allowable. See §200.432Conferences.
Insurance (See §200.447 Insurance and indemnification)	Depends on Purpose	Allowable but is usually treated as an indirect cost.
Interest §200.449	No	Unallowable
Leave (See §200.431 Compensation—fringe benefits)	Yes	Allowable for employees as an employee benefit.
Legal Services	Depends on Purpose	Allowable but is usually treated as an indirect cost. Unless for grant specific legal guidance, then is allowable as direct cost.
Lobbying §200.450	No	Unallowable
Participant Support Costs (See §200.456 Participant support costs)	Yes	Allowable with prior sponsor approval.
Pension Plan Costs (See §200.431 Compensation—fringe benefits)	Yes	Allowable for employees as an employee fringe benefit.
Postage	Depends on Purpose	Allowable and include U.S. Postal Service, Federal Express, and UPS can be both direct if specific to a project or as indirect. Cost of sending the proposal, revisions, periodic or annual reports, or related correspondence to the funding agency should **not** be charged as direct costs to a sponsored project.

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Pre-Award Costs §200.458	Yes	Allowable. Such costs are allowable only to the extent that they would have been allowable if incurred after the date of the Federal award and only with the written approval of the Federal awarding agency. If charged to the award, these costs must be charged to the initial budget period of the award, unless otherwise specified by the Federal awarding agency or pass-through entity.
Public Relations (See §200.421 Advertising and public relations)	Depends on Purpose	Allowable only for costs specifically required by the award, or for costs of communicating with the public and the press about specific activities or accomplishments under the grant- supported project or other appropriate matters of public concern.
Publication and Printing Costs (See §200.461 Publication and printing costs)	Yes	Allowable. Page charges for publication in professional journals may be paid from project funds if the published paper reports work supported by the grant and the charges are levied impartially on all papers published by the journal. The costs of reprints and publishing in other media such as books, monographs, and pamphlets are also allowable.
Recruitment Costs (See §200.463 Recruiting costs)	Yes	Allowable subject to the conditions and restrictions contained in the applicable cost principles.
Registration Fees (for Symposia and Seminars)	Yes	Allowable if necessary to accomplish project objectives. See Dues or Membership Fees.
Relocation Costs (See §200.464 Relocation costs of employees)	Yes	Allowable under specific circumstances, which may include: • Permanent change of duty assignment for an indefinite period or a stated period of not less than 12 months; • The move is for the benefit of Partners; • The reimbursement is in accordance with POA Policy.

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Rental or Lease of Facilities or Equipment (See §200.465 Rental costs of real property and equipment)	Yes	Allowable subject to the limitations. In general, the rental costs for facilities and equipment applicable to each budget period should be charged to that period.
Salaries and Wages (See §200.430 Compensation—personal services)	Yes	Allowable. Compensation for personal services covers all amounts, including fringe benefits, paid currently, or accrued.
Service Charges	Yes	Allowable.
Severance Pay	Yes	Allowable only to the extent that such payments are required by law, employer- employee agreement, etc.
Staff Recruitment and Relocation	Yes	Allowable and can be charged as direct cost if in the award budget, otherwise should be treated as indirect.
Stipends	Yes	Allowable for trainees and participants.
Subscriptions, Books, and Periodicals	No	Subscription, book, and periodical costs should normally be treated as indirect.
Supplies (See §200.453 Materials and supplies costs, including costs of computing devices)	Yes	Allowable.
Taxes (See §200.470 Taxes (including Value Added Tax))	Yes	Allowable. Such costs include taxes that an organization is required to pay as they relate to employment, services, travel, rent, or purchases are only allowable if the tax exemption is not honored. However, POA should make and document all efforts made to obtain tax exemption before this is considered an allowable cost.

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Transportation of Property	Yes	Allowable for freight, express, postage, and other transportation services relating to goods either purchased, in process, or delivered, including instances when equipment or other property is moved from one grantee to another.
Travel (See §200.474 Travel costs)	Yes	Allowable as a direct cost where such travel will provide direct benefit to the project. Must be consistent with POA's Travel Policy. Grantees must comply with the requirement that U.S.-flag air carriers be used by domestic grantees to the maximum extent possible when commercial air transportation is the means of travel between the U.S. and a foreign country or between foreign countries. This requirement shall not be influenced by factors of cost, convenience, or personal travel preference.

Costs must be permissible under the law, Partners policies and procedures, and costs must bepermissible under terms/conditions of the award.

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